Solution

Journal entry

Date	Particulars	L.F.	Debit ₹	Credit ₹
2017 March 31	Reserve fund A/c Dr. To Mala's capital A/c (50,000 x 3/5) To Vimala's capital A/c (50,000 x 2/5) (Reserve fund transferred to old partners' capital account in the old profit sharing ratio)		50,000	 30,000 20,000

Illustration 2

Kavitha and Radha are partners of a firm sharing profits and losses in the ratio of 4:3. They admit Deepa on 1.1.2019. On that date, their balance sheet showed debit balance of profit and loss account being accumulated loss of ₹ 70,000 on the asset side of the balance sheet. Give the journal entry to transfer the accumulated loss on admission.

Solution

Journal entry

Date	Particulars	L.F.	Debit ₹	Credit ₹
2019 January 1	Kavitha's capital A/c Dr. Radha's capital A/c Dr. To Profit and loss a/c (Accumulated loss transferred to old partners' capital account in the old profit sharing ratio)		40,000 30,000	 70,000

Illustration 3

Rathna Kumar and Arockia Das are partners in a firm sharing profits and losses in the ratio of 3:2. Their balance sheet as on 31st March, 2017 is as follows:

Liabilities	₹	₹	Assets	₹
Capital accounts:			Buildings	30,000
Rathna Kumar	30,000		Plant	60,000
Arockia Das	50,000	80,000	Furniture	20,000
Profit and loss appropriation A/c		20,000	Debtors	10,000
General reserve		5,000	Stock	15,000
Workmen compensation fund		15,000	Cash at bank	15,000
Sundry creditors		30,000		
		1,50,000		1,50,000

David was admitted into the partnership on 1.4.2017. Pass journal entry to distribute the accumulated profits and reserve on admission.

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